

Global Aerospace & Defense

Aerospace & Defense: Twelve CEOs in three days - A&D themes from Bernstein's Strategic Decisions Conference



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Last week, we hosted twelve Aerospace & Defense CEOs at Bernstein's Strategic Decisions Conference in New York. CEOs participating were from Anduril (private), ATI Materials (not covered), BAE Systems, Boeing, GE Aerospace, General Dynamics, Howmet, L3Harris, Lockheed Martin, Northrop Grumman, and RTX. Here, we summarize overall themes, as well as the messages from each company.

We heard common themes from the commercial aerospace companies, all of whom continue to see a strong aftermarket outlook, despite concerns regarding high fuel prices impacting airline profitability. This is still a watch item if high fuel prices are extended, but is not likely to hit results in 2026. For OE demand, suppliers were positive now that Boeing is taking deliveries up on the 737 and 787. Suppliers still have some challenges, given that OE and aftermarket are growing strongly at the same time. For engine suppliers, IGT is becoming an increasingly strong new market, as data center demand grows. Howmet and ATI highlighted IGT, and GE is benefiting in its aeroderivatives business.

On the defense side, there remains uncertainty about the 2027 defense budget. Still, all of the defense companies expect the budget to be up, even if not to the \$1.5 trillion level proposed by the administration. Missiles and missile defense remain the hottest areas, with growth frameworks being put in place. Solid rocket motor suppliers (L3Harris, Northrop Grumman, Anduril) are all responding. Space also continues to be an area of high budget growth. Shipbuilding continues to see higher budgets, with progress appearing to come on throughput at the shipyards. There was substantial discussion about the changing nature of warfare, with more focus on drones and counter-UAS programs. Lastly, the impact of new entrants in defense tech was widely discussed, with Anduril making the case for why change is happening.

BERNSTEIN TICKER TABLE

Ticker	Rating	1 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
BA (Boeing)	O	USD	224.30	298.00	(22.5)%	USD	1.19	(0.10)	3.54	188.5	N/M	63.4
GE (GE Aerospace)	O	USD	324.60	405.00	2.6%	USD	6.37	7.71	8.97	51.0	42.1	36.2
RTX (RTX)	M	USD	174.41	208.00	(1.7)%	USD	6.29	6.95	7.42	27.7	25.1	23.5
HWM (Howmet)	O	USD	255.52	280.00	19.4%	USD	3.77	4.76	5.81	67.7	53.7	44.0
NOC (Northrop Grumman)	M	USD	539.22	660.00	(17.0)%	USD	29.08	28.16	30.05	18.5	19.1	17.9
LHX (L3Harris)	O	USD	309.59	405.00	(1.2)%	USD	8.53	11.44	13.95	36.3	27.1	22.2
LMT (Lockheed Martin)	M	USD	516.50	614.00	(20.7)%	USD	21.49	29.90	31.82	24.0	17.3	16.2
GD (General Dynamics)	M	USD	339.20	398.00	(5.5)%	USD	15.45	16.84	18.30	22.0	20.1	18.5
HII (HII)	M	USD	296.41	387.00	4.5%	USD	15.39	17.26	19.99	19.3	17.2	14.8
BA/.LN (BAE Systems)	M	GBP	1,921.00	2,050.00	(13.9)%	GBP	0.75	0.86	0.99	25.5	22.3	19.3
AIR.FP (Airbus)	O	EUR	173.18	234.07	(5.6)%	EUR	6.89	7.34	8.34	25.1	23.6	20.8
SAF.FP (Safran)	O	EUR	297.00	350.00	1.2%	EUR	7.60	10.35	12.58	39.1	28.7	23.6
MTX.GR (MTU Aero)	O	EUR	303.50	350.00	(26.5)%	EUR	17.79	20.33	20.86	17.1	14.9	14.5
RHM.GY (Rheinmetall)	O	EUR	1,207.00	1,900.00	(48.6)%	EUR	22.29	35.51	54.53	54.1	34.0	22.1
HO.FP (Thales)	O	EUR	230.00	260.00	(28.9)%	EUR	9.76	10.93	12.89	23.6	21.1	17.8
RR/.LN (Rolls-Royce)	M	GBP	1,272.80	1,150.00	35.2%	GBP	0.29	0.36	0.42	43.2	34.9	30.1
SPX			7,599.96									
EDME			1,539.40									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

NOC, LHX, LMT, GD, HII estimate is Reported EPS; NOC, LHX, LMT, GD, HII valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Our Strategic Decisions Conference presented a positive outlook for commercial aerospace stocks, as OE ramp rates rise and aftermarket demand remains solid even with airlines facing rising fuel costs. For defense stocks, there continues to be uncertainty around the overall budget. Demand for missiles and space remain very high.

DETAILS

CONFERENCE THEMES

COMMERCIAL AEROSPACE - MAJOR THEMES

- **No signs yet of a slowdown due to high fuel prices.** All commercial aero companies reiterated that they have not seen any signs of weakness in demand, given the concerns around airline profitability amidst high fuel prices. Should the high fuel prices place longer-term threats to airline profitability, we could see pressure, particularly from discretionary purchases (e.g., avionics upgrades, interiors).
- **Rising Boeing production rates.** Boeing confirmed that it has passed its capstone review with the FAA to move to rate 47/month on the 737, which is expected to be fully achieved during the summer. CEO Ortberg expressed optimism about future rate breaks to 52/month and 57/month - and then added that the company would look on to a 63/month rate. For the 787, he reaffirmed the goal of being at 10/month by year-end. Suppliers were reacting positively to the Boeing outlook. Suppliers are now seeing inventories down related to engines as coming down, so that deliveries are becoming more aligned with production rates. There are still, however, some components where more inventory burndown is still to come.
- **Airbus widebody ramp slower than expected.** We heard from suppliers that the pull for the A350 ramp at Airbus was moving more slowly than expected. This is consistent with recent reported commentary by Airbus. regarding delays on the A350 and A320.
- **Aftermarket demand remains high for engines and equipment.** Shop visits are generally covered for 12-18 months, or more for new models, limiting risks of cancellations. Also, lessor ownership of airplanes at many of the weaker carriers provides a source of protection for the companies in MRO. One issue, however, is that the combination of rising OE demand and continued strong aftermarket demand adds to pressure on supply chains.
- **A next narrowbody remains a long way away.** While GE continues to discuss its RISE program, other commercial aero companies were much more focused on near-term production challenges. In the case of RTX, it was also nearer-term for Pratt & Whitney, with the GTF Advantage ramp being the current next step. At Boeing, it was also much more about current production ramps than looking toward the late 2030s.
- **IGT becomes a growth area for some.** Howmet and ATI each describe growth potential as suppliers for industrial gas turbines, that leverages their aero engine technology. GE is also seeing increased demand for its aeroderivative products.

DEFENSE - MAJOR THEMES

- **2027 budget.** All the defense companies expressed optimism about the budget, although without assuming anything about how President Trump's will fare through Congress. Each company made the point that their programs were primarily supported by appropriations, rather than in reconciliation. We heard little concern about a possible CR, which has become routine recently.
- **Rapid growth in missile demand and production plans.** Lockheed Martin and RTX each described the very strong demand outlook for missiles, which ties into new frameworks for production growth. Demand is still higher after high usage of munitions during the Iran war. Those frameworks apply to a broad range of missiles and plan for 3X or 4X current production over five to seven years. The contracts are expected to have guarantees that will reimburse the companies should growth not come to fruition. Given the high demand, missiles is now becoming a growth market for suppliers (e.g., Howmet, ATI) even though missiles had not previously been a material market for them.
- **Missile supply change challenges, particularly solid rocket motors.** Related to the missile growth discussions, we heard a lot about solid rocket motor growth, primarily from L3Harris and Northrop Grumman. The OEMs for tactical missiles (LMT, RTX) described their desire to have multiple sources for specific motors. Microelectronics (e.g., seekers) and structural ca

- **Shipbuilding throughput improving.** Shipbuilding has received a huge amount of funding and backlogs are high. That said, completing production of new Navy ships has been a challenge. We heard a more positive message at the SDC, with throughput now rising as labor and supplier issues are addressed.
- **Space seen universally as a high growth segment.** Defense companies described high demand for space, particularly for the newer large LEO constellations, plus space-based interceptors. This was true even though we continue to see limited clarity on the Golden Dome.
- **Defense support demand rises.** The war in Iran has resulted in a higher operational tempo for U.S. military assets. Beyond the high usage of tactical missiles and interceptors, maintenance requirements for aircraft and ships has risen. Much of that heightened demand is still to come.
- **New entrants and asymmetric warfare.** There was substantial discussion about the changing nature of warfare, with the advent of low cost drones and broader use of autonomous systems. Anduril discussed its approaches, emphasizing its speed to market and approaches to lower costs. The traditional primes described their efforts in autonomy, systems work, and counter-UAS. Several of the large primes also stressed their collaborative work with new entrants, including the use of venture funds.

THE COMPANIES

ANDURIL (BRIAN SCHIMPF - CEO)

Anduril's origin and position.

- **Origin.** Anduril was first in Silicon Valley to go directly after the defense tech problem, recognizing that warfare was changing. Schimpf was at Palantir for over a decade, where it took more than five years to gain traction with the US government. Anduril has been able to get programs of record within 2 to 3 years. It has won competitions against multiple large primes.
- **Warfighting changes.** After a period focused on counter-terrorism, there was a renewed sense of urgency and a recognition that the U.S. was entering a generational shift in warfare. Historically, these shifts create windows where new programs emerge and new capabilities are needed. Conflicts like Ukraine—and more recently the war in Iran—highlight that the U.S. and its allies face significant shortfalls in production capacity and inventory.
- **Size.** Currently, has roughly 10,000 employees and is doubling revenue annually. 2025 was a little over \$2bn and that is likely to double in 2026. The biggest shift has been around this rapid ramp in production. Within five years, revenues could be in the \$30-40bn range.
- **Key programs.** The US Air Force CCA (Collaborative Combat Aircraft) has moved from a paper design to first flight in one and a half years. It is now flying multiple times per week. Early production is expected within the next year. Other product areas have been low cost cruise missiles, interceptors, and hypersonics. Looking for opportunities to provide lower cost solutions.

Differentiation

- **Cost and speed.** Schimpf believes that the company benefits from not coming out of a long history of production programs that placed more emphasis on exquisite solutions, rather than manufacturability and scalability.
- **Supply chain is critical.** Owning and integrating key components is a more effective model, as it reduces the risks associated with lower tier suppliers. When lower tier suppliers are involved, they need to be facilitated, which does not work when most of the value accrues to the prime. Anduril acquired a smaller solid rocket motor supplier and invested. The company also designs actuators, avionics, and seekers in-house. For volume, they have worked with industrial scale PCB manufacturers.

Why are new entrants now becoming successful?

- **Growing dissatisfaction with the status quo.** In the late 2000s and early 2010s (2007–2010), the prevailing view was that the system didn't need new entrants—that existing defense primes and processes were sufficient. The idea that

something fundamentally wasn't working was often dismissed outright. When Anduril was founded in 2017—the shift was dramatic. There was a clear and growing recognition that the traditional model was too slow and struggled to deliver

- **Post Ukraine.** There is more of an opening for non-traditional players - greater willingness from government stakeholders to engage companies like Anduril. The mindset has shifted from “this won't work” to “this might not work, but it will at least be different—and we need different”
- **Trump administration.** Schimpf indicated that they're in a position today where the current administration has a strong appetite to bring in new players into the defense ecosystem. That has created real opportunity. A major inflection point was the CCA award: AF selected Anduril over traditional incumbents on one of its highest-priority programs. Anduril is now viewed as an established player. Shortly after the CCA win, Anduril was sole-sourced on on-orbit space programs.
- **Software as a platform.** Anduril has taken a fundamentally different approach with Lattice. Anduril developed Lattice as a unifying software platform that cuts across everything it does. The core thesis is that the future battlefield will be: highly networked, composed of many more sensors and effectors - and increasingly complex and data-rich. Making sense of that environment—and acting on it in real time—requires a common software layer that can connect, coordinate, and orchestrate all those systems. Another key difference is how modern software platforms are built. It looks fundamentally different from the way defense has historically approached software (systems like Aegis were developed decades ago). Still, it is important to be able to integrate with legacy systems.
- **Use of IP.** Historically, the government resisted paying for IP that was already developed. The government wanted to build programs from scratch, which meant they would maintain control. This also led to lock-in of suppliers for generational programs, which slows the ability to evolve to meet changing needs. The ability to leverage one's own IP is now opening up.
- **Many new entrants will not be around in five to ten years.** A common pattern among new entrants is that they start as single-product or single category companies. That model is extremely hard to scale in defense because you quickly cap out within a narrow segment. Anduril has 25 business lines, so in any given year, some products are flat vs others are up a lot. For many smaller companies, they may end up being absorbed into the large primes.

Product versus service revenue.

- **Traditional sustainment models.** Historically, sustainment has been a large share of total program revenue and often the most profitable phase. Anduril's approach reflects a different philosophy from the past: align incentives with outcomes, get paid for performance, availability, and effectiveness. Anduril examples include counter-drone as a service (USMC) with clear performance targets, including measured uptime/system availability. If systems fail or underperform there are financial penalties. If systems are reliable and continuously improved, then profitability improves. This becomes even more important in a software-defined world (software requires continuous updates, improvements).
- **How will growth evolve at Anduril?** Schimpf explained that exponential growth is hard to model. Think about sustainment as ~20% of initial product sales per year, recurring. When ramping, sustainment revenue is relatively small compared to product sales in a given year, as it has not flowed back through, but stacks up over time. It is hard to say the composition between product versus sales, as it is contingent on the growth rate- as growth slows, then proportional sustainment revenue goes up. Sustainment will be an increasingly important aspect. But, for the next few years revenue will be highly skewed towards production.

Commercial-style contracting

- **Receptivity to commercial contracts.** Even though many primes talk about embracing commercial models, they often resist fixed-price development. Anduril won a contract where they were the only compliant bidder willing to take on fixed-price development, while others declined. On the development side, Anduril's track record has been good. But, CCA development is being done on a cost-plus basis.
- **Choosing fixed-price.** When Anduril is doing fixed-price development programs, it avoids large fixed-price development programs (e.g., \$1B all at once) but has a preference for smaller well-defined tranches. On the production and sustainment side, they are almost universally doing fixed price and fixed price incentive fee. If you are doing cost plus, why would the prime invest in making your weapon/aircraft cheaper as the government will take all of your benefit.

Investment strategy

- **Leveraging investments.** A core part of Anduril's strategy is investing in large-scale production facilities that can be leveraged across multiple products. The goal is to amortize fixed costs across a broad portfolio and drive higher utilization of facilities and equipment. At the same time, modern defense systems require an unusually wide range of technical expertise : electronic warfare, sensors, propulsion and aerostructures etc. They require deep, specialized knowledge across multiple domains. Building and integrating all of this is inherently difficult. Very few companies have the technical breadth, capital, and ambition to operate at this level.
- **Capital intensity.** Investing across multiple programs and scaling production is inherently capital-intensive. There is a natural lag between when costs are incurred and when those investments begin generating revenue: Facilities are typically built ~2 years ahead of demand, equipment and capex are deployed ~12months in advance, and headcount is scaled ~6 months ahead of revenue generation. As a result, at high growth rates, the business requires significant upfront capital, which delays free cash flow (FCF) generation.
- **As a private company.** Schimpf indicated there is a strong incentive for private investors to convince private companies to stay private, which means they can put more money and get more return. There is no shortage of capital available to support Anduril's expansion. The vast majority will go towards working capital and capex over the next few years. Anduril's investors keep telling them to keep investing in order to keep the growth rate up.

Key risk for Anduril: All about execution. The company believes it has built a strong track record of delivering on commitments, which has to continue.

BOEING (KELLY ORTBERG - CEO)

Boeing Commercial Airplanes

- **737:** Production stable at ~42/month with positive key performance indicators. The company has passed the FAA capstone review for rate 47, allowing the new production increase. Boeing has begun running the line at 47/month, with stabilization expected over the next few months. No significant supply chain issues are expected before rate 52/month, given the current inventory buffer. Boeing is activating its north production line in Everett, which will support a rate of 52/month. While stabilizing at 47, Boeing will gradually ramp up the new Everett line at low rates.
- **737 margins** - Boeing expects 737 margins to improve as production rates increase, supported by better pricing and a higher mix of larger (higher-value) 737-10 aircraft. The headwinds associated with late penalties with current deliveries should burn off over the next couple years. However, the new Everett ("north") line will initially weigh on margins as it ramps up at low production rates. Once fully scaled to match Renton's efficiency, the north line should contribute positively to profitability.
- **Spirit:** Boeing has announced a \$1bn investment over three years to upgrade facilities, workforce, and training in Wichita. The focus is on improving safety, quality, and operational standards, aligned with FAA-driven processes used in Renton
- **787 production:** Currently at ~8/month with target to reach 10/month later in the year; ramp is gated by engine supply recovery and seat certification bottlenecks. Aircraft are being produced, but deliveries are constrained by seat certification leading to lumpiness in deliveries.
- **Certification updates (737-7/-10, 777X):** 737-7 and -10 are >80% through flight test with certification expected by year-end, enabling 2027 delivery support (737-7 to be certified before 737-10 as 737-10 is larger and more complex). 777X flight testing continues through year-end, with ETOPS extending into next year. For 777X, cash outflows will remain elevated in 2026 and 2027 but will turn in the 2028 timeframe.
- **China :** China's initial commitment for 200 aircraft is expected to convert into firm orders later this year. Once the government decides on a batch of narrowbody aircraft, these are allocated to Chinese airlines, which then work with Boeing to formalize the orders. This initial commitment effectively reopens the Chinese market, from which Boeing had not received an order in nearly a decade.
- **High Fuel Prices:** Boeing has not yet seen any customer requests to delay or move deliveries. If financial strain occurs, airlines may defer deliveries, but Boeing can work with customers to reallocate slots. There is often strong demand from

other airlines willing to take up available positions. With sufficient notice (around 12 months for the 737 and approximately 18 months for the 787), Boeing can reassign production slots to avoid delivery disruptions.

Boeing Defense & Space Systems

- **Margins:** Medium-term target remains high single-digit margins.
- **F-47:** Boeing is investing heavily in its St. Louis facility to support F-47 production and potential future opportunities. The program is strategically important as F-18 production winds down.
- **KC-46:** KC-46 has one remaining lot under the existing fixed-price contract, expected to be awarded by year-end. Subsequent production quantities will be repriced, which should allow for margin improvement.
- **T-7A:** A significant portion of production is already under fixed terms, meaning profitability recovery will take time.
- **Space:** Boeing's space business is split into two segments: human space exploration (e.g., Starliner) and national security space (including strategic satcom satellites and classified work). The national security space segment has multiple applications related to the Golden Dome initiative. The space exploration business faces challenges, particularly from fixed-price contracts such as Starliner. NASA has scheduled one Starliner launch this year and another next year, while Boeing works through fixing deficiencies identified in the prior mission.

Boeing Global Services

- On the commercial side, Boeing has limited exposure to flight-hour-based services, so reduced flying in the region has minimal impact. For defense, increased operational tempo is driving higher demand for parts, repairs, and replenishment

GE AEROSPACE (LARRY CULP - CEO)

- **Oil price impact in Q2'26.** GE is confident that aftermarket trends will remain strong in 2026. Flight cycles have been impacted by the Middle East disruptions and the high jet fuel prices. But, GE will continue to benefit from its rich backlog for shop visits. Q2 is again shaping up to be a strong quarter. GE indicated that their conversations with airlines are not indicating any weakness. They also said the number of parked planes (indicator on potential retirements) is coming down. Demand for aftermarket is accelerating.
- **Beyond 2026.** The backlog is expected to protect financials for at least 12-18 months, even if the current fuel price situation extends. At the time of Q1'26 results, visibility was not great enough for GE to upgrade the targets for 2026, but the outlook continues to be strong. They expect aftermarket growth for 2027 to again be in the double-digits. They are also willing to support airlines in case of restructuring. But they have not seen airlines try to defer repairs. GE believe that, in case of financial distress for some airlines, then engines could be reallocated to other airlines (directly or through lessors), limiting financial risk.
- **CFM56 profile.** The outlook for CFM56 aftermarket remains extended. Around 30% of the CFM56 fleet still has not had a first shop visit, with 2026 worksopes described as stable. GE expected the number of shop visits to have a "slight fade" after 2028, but be offset by pricing and scope. Usage of parts for aeroderivative applications also is a potential backstop
- **LEAP profitability.** LEAP demand is "extremely high," with LEAP deliveries up 63%. Boeing is also providing an eventual rate target of 63/month on the 737. The significant growth in the fleet's size and the aging profile of the engine should continue to support profitability for LEAP. The engine became profitable in the aftermarket in 2024 and will continue to see margins expand as the share of external shop visits grows. LEAP installed base should more than double from 2025 to 2030. LEAP aftermarket profit in dollars is expected to match CFM56 by 2030.
- **Airbus bottlenecks.** The issues from 2025 are now resolved and GE's CEO noted a more constructive relationship between CFM and Airbus regarding capacity increases.
- **RISE.** The focus from airlines is increasingly shifting to durability, in addition to fuel burn efficiency. GE noted that the RISE project should be able to deliver significant durability improvement, driven by the open-rotor architecture, which should be

an important selling point for the program. The program will continue to require increasing collaboration between CFM and the airframers.

- **Defense** is roughly two-thirds U.S., plus allies, with growth framed as MSD to HSD and a very strong book-to-bill. If the company can keep converting that backlog and getting product out the door, management believes it has a clear path to HSD, with an additional uplift expected once sustainment spending moves higher, likely in the 2027 budget. International defense is at least in the HSD growth range and has been a great opportunity particularly for F110.

RTX (CHRIS CALIO - CEO)

Raytheon

- **Budget outlook.** The FY2027 base budget of \$1.15 billion reflects strong and growing investment in defense. Independent of potential added reconciliation funding, there is broad bipartisan support for increasing munitions production. Demand is not limited to the domestic market—roughly 30% of Raytheon sales and 48% of backlog are international, adding resilience even if U.S. funding fluctuates. On a TTM basis, Raytheon book-to-bill is 1.5x. Raytheon backlog of \$74bn does not include new missile framework agreements or Golden Dome opportunities not yet under contract, meaning added demand on top of existing orders.
- **Munitions production.** Raytheon had begun ramping capacity prior to recent framework agreements set earlier this year. Munitions demand has risen further, with the need to replenish inventories use in Iran. The company has been expanding its supplier network and diversifying sources (added 150 new suppliers in 2025 alone). About half of RTX's supply base consists of small and medium-sized businesses, which need to see a long-term demand signal in order to invest. The framework agreements are built on long-term demand (7 year timeframe). These agreements are not yet under contract, but are expected to be cash flow neutral with capex outflows offset by customer advances
- **Solid rocket motors** remain a supply chain constraint. Performance by existing suppliers is better. But, SRMs need more investment and more qualified participants to meet industry-wide demand. RTX is actively working with Avio, Nammo, and others to support its munitions ramp. Beyond SRMs, microelectronics and castings are also constraints
- **Missile Defense.** Missile defense continues to become more important with Ukraine and Operation Epic Fury. Patriot, NASAMS, and LTAMDS all in high demand for the US and internationally. Counter-UAS has become increasingly important, with Raytheon's Coyote and LIDA as key programs. Although there are many new entrants trying to participate in counter-UAS, Raytheon is staying with high end systems and not the lower end commoditized approaches.
- **Raytheon margins.** Margins were 12% in Q1 and they are not capping them there. "Red" programs that lowered margins are now largely done. Radars and effectors in production are mature products that will be helpful for margins. In addition, the large international backlog (48%) will also help margins.

Pratt & Whitney

- **Risks with higher fuel prices.** In Q2, demand has remained strong, with no change in buying patterns or airline behavior. RTX maintains a very rigorous process for evaluating customer credit and risk exposure. The company collaborates with customers to find workable solutions, which in some cases may involve restructuring agreements or deferring certain services. In the unlikely event that an airline is unable to meet its obligations, the engine can be redeployed elsewhere. However, airlines have learned from the COVID downturn, that deferring a shop visit could be challenging, as it is uncertain when the airline would be able to reenter the queue.
- **V2500 aftermarket remains strong** - about 15% of the fleet has not yet undergone its first shop visit, and roughly 35% have not completed a second shop visit. The company continues to expect shop visits to run at roughly 800/year with rising workscope.
- **GTF update:** The financial and technical outlook remains intact. The AOG situation was described as continuing to improve, as down 15% in the first quarter since year-end 2025, with further progress expected in the second quarter (while down from December, our estimates still show 620 AOGs, although some are now held by lessors or at troubled airlines (e.g., Spirit, S7)). MRO output increased 23% year-over-year in the first quarter, following 26% growth in 2025. This was largely driven by reductions in turnaround time (down 20% in Q1 despite heavier work scopes).

- **Engine deliveries:** While acknowledging commentary from Airbus, management emphasized that the priority is to step up MRO output. However, the company is balancing deliveries between OE and aftermarket. On the OE front, Pratt will deliver more engines to Airbus this year versus last year.
- **Military engines.** Pratt has sole-source positions on key defense platforms, including all fifth-generation fighter jets (F-22, F-35), as well as high-priority programs such as the B-21 and KC-46. Higher op tempo with the war in Iran adding to F-35 MRO revenues.

Collins Aerospace

- **Leading position** (#1 or #2) on 70% of its product portfolio, supported by a \$105 billion installed base that is now out of warranty, providing a strong aftermarket opportunity. Moreover, the company has a higher content on next-generation platforms, including the 737 MAX, A320neo, 787, and A350. These programs are now ramping up volume.
- **Aftermarket.** Parts and repair represents two-thirds of the aftermarket mix with the remainder made up of provisioning, mods and upgrades. As aircraft deliveries have increased over the past five years, out-of-warranty flight hours have also grown, which should continue to support parts and repair demand. Provisioning tends to follow OE deliveries that are ramping. However, interiors and avionics upgrades tend to be discretionary aftermarket items that can see weakening demand in a downturn.
- **Defense** represents approximately one-third of its portfolio, providing critical communications and connected battlespace solutions on a number of key platforms.
- **Collins margin** upside should come from more aftermarket growth (which is high margin), better operating leverage on the OE and from structural cost reductions.

Guidance

- RTX is comfortable with the current guidance range, with cash expected to continue at 90-100% of EBITDA.

HOWMET (JOHN PLANT - CEO)

Overall

- **Strong demand visibility across commercial aerospace:** Record commercial aircraft backlogs and planned rate increases at Airbus/Boeing support multi-year growth for Engine Products and Fastening Systems. Transitions to next-gen blades adds to growth. Aftermarket growth continues, with nearly 40% growth in Q1. High jet fuel prices have not had any impact to this point.
- **Defense demand remains solid.** The F-35 aftermarket should grow considerably faster than simply fleet growth. High usage of military aircraft during the Iran war should provide upside during the next 2-3 years. There is potential for added upside from new markets, including missiles and Golden Dome applications.

IGT as a new growth driver

- The gas turbine business has been an emerging growth driver, supported by rising electricity demand from data centers. The company said that it has well over a 50% market share in IGT blades, reinforcing its strategic importance. IGT is seeing growth from both OEM demand and a surge in spares. The installed turbine base is operating harder than expected, boosting aftermarket demand significantly. At the same time, gas turbine production is ramping for large turbine manufacturers (GE Vernova, Siemens) which further supports growth. Management remains cautious on long-term forecasts, noting that growth is limited by the weakest link in the turbine supply chain. That said, when volume and pricing are included, we see the growth opportunity as better than the doubling of revenues the company has predicted by 2028.
- Mid-sized turbine manufacturers are increasing capacity significantly, partly due to supply constraints in large turbines. Additionally, the build-out of LNG infrastructure is driving demand for turbine components used in gas compression and liquefaction. Capacity expansion is being phased carefully to avoid over-investment. The company is structuring commercial arrangements with customers before committing capital. Turbine blades require replacement, thereby creating recurring aftermarket demand. The current fleet of turbines and the ones expected to come online in the next five years should drive

strong future aftermarket demand (replacement blades), providing downside protection even if OE growth moderates post-2030.

Engine Products (Aero)

- On the Aero side, HWM sees very little inventory across both OE and aftermarket (spares) channels. Management noted that customers are absorbing all available production to support ongoing rate increases (e.g., Boeing 737 MAX), with any excess being easily absorbed by MRO shops.
- For LEAP-1A, HWM is currently delivering next-generation blades at scale while still manufacturing legacy blades. When an engine undergoes overhaul, a full blade replacement allows for a transition to next-generation blades; however, in partial replacements, blade types cannot be mixed on the same disk. As a result, the company continues to supply both legacy and next-generation blades in the aftermarket for the LEAP-1A.
- For LEAP-1B, production of the new Maverick blades has begun. The company will continue producing existing turbine blades for the LEAP-1B while ramping up production of the new Maverick blades during the transition.
- For GTF Advantage, production will ramp steadily through the year, with more meaningful volumes expected in 2027 (especially -2H27). The full cut over to the GTF-A should come near the end of 2027, which is in line with RTX statements.
- Next-generation blades feature significantly higher technical complexity, supporting higher content per engine.

Fastening Systems:

- Fastening Systems grew despite the modest recovery of widebody aircraft builds, driven by incremental share gains following the SPS disruption, increased share under the new Airbus contract, and continued rollout of new product offerings on aircraft.
- For the 787, delivery assumptions embedded in 2026 guidance are for ~7 aircraft/month, rising to 8/month before year-end. Should Boeing reach 10/month by year-end, as Boeing has planned, Howmet would be able to support the higher rate, implying potential additional upside to revenue.
- Fastening Systems margins have expanded due to strong operating leverage, with revenue and volume growth achieved without adding headcount. Efficiency gains have been driven by automation and new equipment. Margin improvement has also been supported by pricing and increase in content. Widebody growth has not yet kicked in as a major driver. But, we expect that it will lead to more margin expansion when that growth materializes. The CAM acquisition will initially dilute margins, given its lower (~20%) margin profile.

Engineered Structures

- Business has been optimized for higher margins (>20%), with portfolio rationalization and selective exits over the last few years
- Opportunities for additional demand related to missile programs.

L3HARRIS (CHRIS KUBASIK - CEO)

- **Key growth areas** include space sensing, ISR aircraft, resilient communications, space, and munitions, supporting an ~8% top-line CAGR through 2028.
- **FY2027 defense** budget does not impact 2026 revenue guidance as it is protected by the company's backlog and will only be relevant in 2027 and after. Expect budget to end up in the \$1-1.5tr range with a combination of 1) base in \$1-1.1tr range (expect passage in lame duck session post election), 2) reconciliation of \$350bn, 3) supplemental (if reconciliation doesn't pass).
- **Communications & Spectrum Dominance.** ~3% growth in Q1 and expectations for acceleration through the year. Software defined radios continue to deliver high margins, given their commercial contract structures. International growth is

driven by large, multi-year awards across Europe (e.g., Germany, Netherlands), reflecting increasing NATO standardization. On the domestic side, demand is underpinned by a ~10-year modernization cycle, with systems fielded earlier in the decade approaching replacement age, reinforcing the need for continuous upgrades and refresh. LHX sees itself well-positioned for NGC2 communications programs, with expected economics that would be similar to today's structure.

- **Missile Solutions.** Growth is still guided to ~20% through 2028. Demand is well beyond supply, with growth constrained by industrial capacity. The company is operating facilities 24/7 while investing heavily in footprint expansion (60 new buildings planned, doubling key program capacity such as PAC-3 by mid-2027 with new building in Camden) alongside workforce scaling. LHX is investing ~\$3bn to support the missile ramp outlined in framework agreements, with termination protections in place should higher production rates not materialize. The capex spend is aided by the \$1bn government equity investment that is to occur in conjunction with the IPO.
- **Space.** Optimism on growth as demand transitions toward high volume LEO constellations (e.g., SDA tracking layer). Well-positioned on HBTSS and classified programs. The move to smaller LEO sats is shifting economics toward line production operations, which can enable double-digit margins. Upfront investment ahead of awards (facility buildouts) has already enabled recent SDA tracking layer wins.
- **Counter-UAS solutions** include two highlighted products: (a) the Vampire system (~\$30,000 per unit, vehicle-based), and (b) software that can be loaded onto a soldier's phone or radio to scan the frequency spectrum within the last mile, identify an incoming drone's frequency, and jam it at the push of a button. See this as a strong differentiator for the company's current radio business.
- **Elevated R&D and self-funded product development** (e.g., counter-UAS systems, new software capabilities) are viewed as key to sustaining competitive positioning and unlocking future high-margin revenue streams.
- **FCF guidance of ~\$3bn**, with incremental upside likely redeployed into growth capex and capacity rather than flowing through to higher near-term cash

NORTHROP GRUMMAN (KATHY WARDEN - CEO)

Overall

- **Sales:** MSD growth is expected, with acceleration into the next year. The \$1.15tn base budget supports key NOC programs and underpins current guidance as well as expected sales acceleration into next year. The company has low dependence on reconciliation funding.
- **Iran war:** The company has seen an immediate uptick in demand for support and sustainment tied to ongoing military operations. Significant munitions usage is driving the need for replenishment, with this year's reconciliation including large funding allocations to accelerate production. NOC is seeing demand from both prime contractors and the Pentagon. The E-2D has been heavily used in operations in Iran and Venezuela, and the U.S. Navy has requested 12 additional aircraft due to the increased operational tempo and demand for its capabilities.
- **Unmanned Systems/Counter-UAS-** NOC participates in both unmanned systems and counter-UAS markets, primarily at the mid- to high-end, rather than the low-cost, high-volume segment. The company expects the market to continue growing and is developing lower-cost options across missiles, counter-UAS, and interceptors. NOC emphasized the scale at which it can manage high-end/complex systems (e.g. B-21), along with engineering talent and manufacturing capacity.

Aeronautics

- **B-21-** NOC described the two EAC charges that have been taken on the program. The first was due to higher than anticipated inflation pressures which required updating cost estimates. The second charge was related to investments made to accelerate production rates, combined with learning in the manufacturing process that led to rework and associated costs. NOC expects to invest \$2.5bn over a multi-year period to support the accelerated build rate. The accelerated build rate is expected to drive a step-up in annual sales once the infrastructure is in place, with this larger ramp occurring a couple of years later. In the interim, NOC expects a modest step-up in revenue for the B-21 as it prepares to support the higher build rate. The company did not provide specifics on the expected rate change, due to the restricted nature of the program.

- **TACAMO-** Today, the TACAMO program is contributing a couple of hundred million dollars of growth annually as it scales through its development phase, with a transition to production expected in a two to three years.
- **F-35-** In Aeronautics, work includes center fuselage production and ancillary production support, with growth driven by an expanding sustainment footprint. In Mission Systems, the company supports Block 4 modernization, driving growth through both development of next-generation systems and their transition into production. Block 4 modernization, however, has moved farther out in time.
- Aeronautics **margins** could reach ~10% as the B-21 program transitions from low-rate to full-rate production. Additionally, as more programs move from development phase (typically cost-plus) into production, this should support margin expansion.
- NOC is also pursuing the U.S. Navy's sixth generation fighter program (F/A-XX), with an award expected by the end August. This is a competition versus Boeing. As in many past major aircraft programs, we do not believe it is possible to assess who will be the likely winner from the outside.

Defense Systems

- **Sentinel.** NOC has built all components of the missile and tested them individually. The program's next major operational milestone is a test flight planned for 2027 via a pad launch. The program was described as now well set on its new timeline. That timeline had been pushed out by the Air Force for IOC because of issues related to silo construction. That timeline has been brought back in modestly and was said to be well on track from an NOC standpoint.
- **Tactical Missiles.** Northrop Grumman participates in the tactical missile market both as a prime contractor and as a supplier. While it serves as prime on AARGM-ER and SiAW, most of its contribution comes from supplying key components, including nozzles, casings, seekers, and particularly solid rocket motors. The company has invested to expand capacity ahead of demand and is progressing toward qualification as a second source on several programs, including PAC-3.
- **IBCS.** NOC is seeing robust international demand and is now in full-rate production for the U.S. Army (IBCS is already fielded in Poland). About a dozen nations have submitted requests to the U.S. Army for export. IBCS was also said to fit well within the Golden Dome architecture as a short- to mid-range defense solution, capable of tracking drones and missiles and pairing threats with the appropriate effector.
- Defense Systems is expected to grow in the double-digit range, largely fueled by munitions demand.

Space Systems

- The headwinds from the wind-down of a canceled classified program and the loss of NGI are now fully behind the company as of Q1. The company expects accelerating growth in the space segment.
- Management also sees strong opportunities from the Golden Dome over the long term, driven by its missile tracking and missile warning capabilities, space-based interceptors, as well as next-generation polar solution.

Mission Systems

- Mission Systems is a highly diversified electronics segment, with the best margins in NOC. This business is built around advanced microelectronics embedded in radars, electronic warfare systems, and communication systems. Margins have consistently been in the MSD range and are expected to remain at least at that level next year.

LOCKHEED MARTIN (JIM TAICLET - CEO)

Overall

- **Operating focus.** The constraint on performance is not demand but execution, with management emphasizing operational discipline as the key lever to increase throughput on existing programs (e.g., PAC-3, THAAD, F-35) and to scale newer ones.
- **FY27 budget.** Management still sees upside across budget scenarios (including CRs and delays). Near-term production is driven by backlog and prior-year funding, with significant forward investment to move quickly once budgets are approved.

- **Impact of Iran, Ukraine.** Recent conflicts in Iran and Ukraine have helped accelerate the U.S. government's shift toward commercial-style contracting and faster procurement, creating a new way of doing business. There is more interest in multi-year procurement. Use of cheap drones is more important. While LMT may not make those, it builds C2 systems that can connect and control them.
- **2026 FCF.** Potential to reach the upper end of 2026 FCF guidance on tax developments and from the timing of multi-year F-35 procurement awards.

Missiles & Fire Control

- **Missiles demand.** Frameworks for key programs (e.g., PAC-3, THAAD, PRsM) are developed. Expect contracts in next few months. Even though appropriations are annual and could change, there will be "make whole" provisions should current investments not be needed. Export demand adds further support.
- **Solid rocket motors.** Looking to have multiple sources for solid rocket motors (e.g., adding NOC, GD/LMT on PAC-3), as they continue to be a supply chain challenge, despite recent improvement.

Aeronautics

- **F-35.** Production expected to grow LSD and sustainment as the main HSD growth driver. Management sees sustainment as historically underfunded and now a budget priority, with aftermarket growth outpacing fleet growth as customers prioritize readiness and spares.
- **TR-3 / Block 4.** TR-3 hardware is effectively complete and in production, firmware is stable, and software is progressing. The Block 4 upgrade should be beneficial for revenue, with F-35 unit pricing expected to increase as the aircraft becomes more capable.
- **C-130J / F-16.** Demand for both programs, especially internationally, remains solid. C-130 getting back on track, while F-16 issues relate to integrating new subsystems; F-16 deliveries should resume in a few weeks.

Space Systems

- **Space remains the second fastest-growing segment** and is framed as an MSD growth business, driven by strategic missile defense, (NGI, hypersonics), Fleet Ballistic Missile, SDA and classified programs within national security space.
- **Smaller satellites.** The company has repositioned into smaller satellites and proliferated LEO architectures, an area where investors historically did not expect it to be competitive. Expect strong top line growth here.

Rotary & Mission Systems

- **Sikorsky.** Growth is led by the CH-53K, with production expected to double, while Black Hawk should be stable next year and come down in outer years.
- **C4ISR.** RMS is increasingly important for homeland and theater defense through C2 and ground-based radars. Should be good opportunities in Golden Dome (e.g., C2).

HII (CHRIS KASTNER - CEO)

Overall

- **Milestones.** There are five major ship deliveries planned over the next 12 months (LPD 30, DDG 129, CVN 79, SSN 800, and LHA 8). HII is currently focused on increasing throughput (14% throughput last year and is targeting 15% this year).
- **Mid-term guidance.** HII's 6% mid-term revenue growth is supported and "protected within the base budget. Management stated that as long as the base budget progresses through the process, their outlook remains intact. There is further upside to the mid-term revenue growth guidance from the frigate and nuclear shipbuilding programs.

- **Funding vs production volume.** The FY2027 budget has increased funding for VCS, CC, and amphibious ships. The key challenge is converting this increased funding into actual production output. This is being addressed by expanding the labor force and leveraging distributed shipbuilding (outsourcing portions of work). HII doubled distributed shipbuilding last year and plans to grow it by 30% this year. Historically, distributed shipbuilding was not required due to sufficient in-yard capacity and labor.
- **Supplier base/partners.** HII is working with established suppliers as well as new entrants. Existing partners are being used to expand capacity. The company is also onboarding new entrants with relevant steel and welding experience. Outsourced work is focused on early-stage unit construction (pre-outfitting).

Shipbuilding

- Money that came through for the last two Virginia Class boats in Block V had substantial funding to support labor with higher wages. The goal was to attract higher quality talent. The pass through of this money is raising revenues, but it is not improving margins today. Eventually, we would expect this funding to turn into better performance. At Newport News, attrition rates are improving and are ahead of throughput goals through Q1.
- The second **Columbia Class boat** is proceeding much more efficiently than the first one.
- Management expects to receive the **contract for Virginia Block VI (10 boats) and Columbia Build 2 (5 boats)** before end of Q2. The key to margin improvement is moving the mix in Virginia Class program well past pre-COVID contracts - contracts in which later inflation was not covered. Management expects Block VI to be a fair contract, offering a real opportunity to achieve margin targets. These contracts are being structured in a much more stable economic environment than Blocks IV and V, which faced high inflation, elevated supply chain risk, and increased shipyard workloads. The Virginia Class Block VI contract should include protective clauses for inflation and other cost pressures.
- **Aircraft Carrier.** CVN-79 is entering its second round of trials this summer, with delivery likely in late 2026 or early 2027. CVN-80 was previously impacted by the late delivery of engine room components, which has now been resolved, and it is expected to be 75% erected by the end of the year.
- **Trump Class Nuclear battleship.** It is an early stage concept under discussion with the US Navy. The near-term focus is on defining the ship's design, assessing the build approach, and planning its integration into the Newport News shipyard.
- **FF(X).** The frigate program will leverage the proven design of the Legend-class National Security Cutter. While the Navy has requested certain topside design modifications, these are not expected to create manufacturing challenges. Management highlighted that the first two ships (priced at ~\$800mn-\$1bn each) are sole-sourced and execution will be key to securing future work. While the longer-term acquisition profile remains uncertain, the Navy has indicated plans for multiple builders.
- **Margins.** Management said both shipyards should ultimately be able to return to 9% to 10% shipbuilding margins, driven by improved execution and the transition from pre-COVID contracts to newer better priced contracts.

Mission Technologies

- Formed from a combination of three major acquisitions- Hydroid (underwater vehicle provider), SIS (unmanned surface systems' provider) and Alion (provides R&D services in the areas of cyber, electronic warfare, C4ISR). An area within MT that is seeing a lot of interest is unmanned systems. HII won a large contract for small underwater vehicles and sees a lot of opportunities in the unmanned surface space both on the domestic and international front. Management mentioned that the FF(X) should have a module in it to control unmanned boats.

BAE SYSTEMS (TOM ARSENEAULT - CEO BAE SYSTEMS NORTH AMERICA)

- **US Budget.** BAE Systems should be among the key beneficiaries of the growing 2027 US budget. While there is limited visibility on the final size of the budget, the base budget should be \$1.15tn.
- **Key segments in the US.** Tom reiterated that their presence in Space (through the recent Ball acquisition) will be essential, as it will benefit from the budget's new priorities and the golden dome. BAE Systems is also exposed to munitions, which

should be among the fastest growing segments and benefit from the inventory rebuilding phase. The ship repair business continues to benefit from the increased spending in Naval.

- **US vs. Europe.** After several years of strong growth in Europe and stable budgets in the US, BAE Systems should benefit from being the largest US-exposed companies among the European Defense stocks. BAE has been able to capture the opportunity across both regions, through its established profile in the US and in the UK.
- **Growth outlook.** While it is difficult to significantly accelerate the pace of the growth for a diversified for a group like BAE Systems (normal algorithm of MSD-HSD% topline growth), the surge in the US budget should translate into years of visibility at the high-end of the range. The key drivers of future growth are the ability to operate in the right segments (Space, munitions...) and expand capacity.
- **Geographical mix.** In the long-term, BAE Systems expects the geographical mix to remain stable, as all the key regions (US, Europe and the Middle East) see budget growth in the current environment. Despite the backlog skewing more towards Europe than sales at the moment, it should rebalance with the US growth in 2027.
- **Legacy weapons.** The narrative continues to support drone and missile, but Tom believes that ground vehicles will remain a key platform in the future. Because of the need for these systems to control territory. He continues to expect strong growth in the Platform & Services business, driven by the US and the European exposure. BAE Systems expects a mega order of several hundred CV90s from Sweden and partner countries. It could be a \$5-6bn, 500 units opportunity.
- **Middle East.** The impact should first come from increased spending in the key areas from the US (inventory rebuilding), and could also lead to orders from Middle-Eastern countries at a later stage.
- **MBDA.** The business continues to benefit from extremely supportive trends, and its structure (multiple countries, European champion). Capacity increases will continue to drive the sales growth for the coming years. Despite the surge in demand, prices cannot increase significantly overnight.
- **Maritime.** The UK business' margins are capped at 7-9%. And they should improve as the programs move from first-in-class to more deliveries. But, the wins in exports (Norway Type26) and the standardization imply that margins can then gradually expand toward higher levels, in the low-double-digits.
- **GCAP.** The program continues to progress well. Airbus potentially joining depends on political decisions. Japan's involvement implies strong export opportunities outside of Europe. The program should generate ~£1 bn of sales until the end of the decade and then increase once it gets into production phase.
- **Capacity increases.** BAE Systems now benefits from its conservative approach on artillery and demand-driven segments in Europe. It is also expecting to benefit from the surging demand in munitions in the US, but sees resilience through the framework agreements (7 years).
- **M&A.** BAE wants to remain agile and be able to proceed to large deals if required, but that is not the key priority. The group also wants to be cautious in proceeding to M&A in areas that are overly competitive or where demand could be unsustainable

ATI MATERIALS (KIM FIELDS - CEO)

Operating in a materially constrained market, demand remains strong and broad-based. In Aerospace, demand continues to grow, particularly for jet engines, benefiting from OEM production ramp-ups and increased content on next-generation engines (LEAP and GTF). ATI is also seeing continued growth across key defense areas, including missiles, naval nuclear programs, and both rotary- and fixed-wing aircraft. Strength in specialty energy markets is being driven by increasing structural demand. Customers are also taking a more strategic approach to supply chains, similar to trends seen in the aerospace and defense sectors. ATI has refined its portfolio- ~80% of the business is concentrated in three core markets (aerospace, defense and specialty energy).

High fuel prices and airline pressure : Since Q1, ATI has seen no softening in underlying demand across customers. There is a growing sense of urgency for materials, particularly as engine OEMs face pressure to keep up with airframe production ramps. There is competition for available material capacity, with buyers actively looking to take any open slots or cancellations. There has been no observable slowdown in aftermarket demand. Even as older, less fuel-efficient aircraft are retired, structural dynamics remain supportive for ATI, as legacy engines carry lower ATI content. ATI's material content is ~2x higher on next-gen

engines compared to older-gen engines. As these new engines accumulate cycles, this will lead to more shop visits, which is beneficial for ATI.

The jet engine full-year outlook for revenue growth remains in the mid- to upper-teens range (with bias towards the upper side). The aftermarket continues to be very strong in jet engines, with ATI seeing both increased MRO shop visits (particularly as the first wave of LEAP and GTF engines begin to require service) as well as demand driven by upgrades and durability packages. Jet engine sales account for 40% of ATI revenue and represent a core area of competitive strength. ATI offers differentiated capabilities in advanced materials, particularly nickel alloys and isothermal forgings, which are critical to next-gen engines.

ATI's exposure is concentrated in high-value, highly stressed components, specifically disks in the hot section of jet engines. The company supplies six of the seven most advanced nickel alloys used in jet engines—serving as the sole-source supplier for five of them, sharing one with a competitor, and the final alloy produced in-house by the OEM. Even on newer platforms like the LEAP—which require durability upgrades—there are material constraints that limit the ability to perform full shop visits. Instead, MROs replace only what is absolutely necessary, and those engines return within 12–18 months for additional work. Over time, even if upgrade-related demand tapers off, the regular LEAP shop visits are expected to grow as the installed base matures.

ATI content on engine platforms: Historically, ATI has the heaviest exposure to Rolls - Royce engines, where content has been around ~40% (by parts/forging value). The content on LEAP is closer to 35%. Over time, GTF has converged, and ATI's content is now approaching parity across all three major platforms. For the GTF, Pratt produces some of its own material. But the recent challenges have highlighted the risks of single sourcing. ATI is well positioned, as it has the capability across the alloys and can be a second source to increase resilience.

Isothermal forgings/titanium: ATI produces isothermal forgings used in engine disks. Only two suppliers globally can produce these at the required quality and scale. ATI is seeing strong demand for high-quality titanium, used in engines, with backlogs growing. The company has invested in new facility in Richland, Washington (currently in the qualification phase). ATI also produces zirconium and hafnium - critical for nuclear applications, defense and commercial.

Airframe sales: The year is expected to be split into two halves. The first half of 2026 is likely to be relatively flat, driven by ongoing inventory normalization, while the second half of 2026 is expected to see acceleration, aligned with the airframe production ramp. ATI's business operates under long-term agreements, with orders typically placed 12 to 18 months in advance, which provides visibility into the second half of the year. ATI also noted that there are certain product forms where Boeing still holds excess inventory, while in others, demand is increasing faster than expected. Boeing had previously relied on finished products from Russia where the supply has been disrupted.

Pricing power in a constrained environment: Even though ATI operates under long-term contracts, the current environment provides meaningful pricing and margin expansion opportunities. ATI has structured its agreements to include surcharges and pass-through mechanisms. These allow ATI to protect margins against input cost volatility. When customers come back with incremental needs (eg. request for higher volumes), it creates natural renegotiation points to reset pricing, terms and economics. Margins should benefit from pricing, higher content on next-generation engines, and improved utilization.

Airbus: ATI's position with Airbus has evolved over the past few years. Prior to COVID-19, ATI had just signed a new contract with Airbus but had not yet meaningfully ramped supply. After the Russia–Ukraine conflict, Airbus moved to diversify away from Russian supply chains. ATI effectively became a strategic alternative supplier during a period of supply chain disruption. ATI now has ~50% share on the products it supplies to Airbus.

Defense: The naval nuclear program currently represents approximately half of ATI's defense revenue. ATI recently signed a ~\$1 billion contract, which is a renewal of an existing program where it serves as the sole-source supplier. This contract is roughly 2x the revenue of the previous contract. On the missile side, ATI provides premium titanium and niobium-based alloys. However, missiles still represent a relatively small portion of total revenue today. ATI has content on key missile programs which include PAC-3, THAAD and Tomahawk. In space, ATI is involved in key components of launch systems like second stage rockets, nozzles. One of the only US suppliers capable of producing these materials at scale for launch companies. Missiles and space together represent: ~2% of revenue today. ATI also provides high-performance titanium plate and sheet for ground armor (titanium has a higher strength to weight ratio than steel). For 2026, the defense growth rate should be in the mid- to upper-teens.

Widebody production: The recovery has been slower. Widebody aircraft use significantly more titanium—approximately 5x the content of narrowbody aircraft. While widebodies have higher titanium content per aircraft, they are seeing lower production volumes. In contrast, narrowbodies have lower titanium content per aircraft but much higher production volumes.

IGT: ATI provides similar materials that go into jet engines (IGT like jet engines operate at extreme temperatures and stresses). Management sees potential for strong growth through the decade.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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